
Fund Reports

Kinetics Multi-Disciplinary Advisor

by **Terry Tian**

Advisor

Kinetics Asset Management LLC,
subsidiary of Horizon Kinetics LLC

Advisor Location

New York, New York

Assets Under Management

\$23.7 million (fund)

Inception Date

Feb. 11, 2008

Investment Type

Mutual fund

Morningstar Category

Conservative allocation

Management

Murray Stahl and David Kingsley are the lead portfolio managers of the fund. Stahl co-founded Horizon Asset Management in 1994 and serves as Horizon Kinetics' (the consolidated parent company) chairman of the board and chief investment officer. Prior to Horizon, Stahl worked at Bankers Trust Company for 16 years as a research analyst and senior portfolio manager. Kingsley joined the firm in 2006 and manages the firm's private credit funds. Derek Devens and Peter Doyle serve as supporting portfolio managers. Devens has fixed-income portfolio management experience, and Doyle is a co-founder and senior member of Horizon Kinetics' 17-person equity research team (including the portfolio managers).

Strategy

This fund employs a fully collateralized equity put-option-writing strategy and targets equitylike returns with damped volatility. Theoretically, a cash-collateralized put-writing strategy delivers a similar hedged equity payoff to covered-call writing. But because put options are generally more expensive than call options (investors pay up for downside protection and tend to overestimate future volatility in distressed times), management believes that put writing is more optimal than call writing. The fund writes put options on approximately 100 stocks (sometimes with multiple puts on one stock) and holds 20–30 bonds. Management invests its cash collateral in U.S. corporate bonds rated B– or better with durations of as much as five years to enhance the put-writing strategy's return.

Management sells primarily at-the-money puts on stocks within the coverage universe of the firm's fundamental equity research team. The fund profits from premiums collected on expired put contracts (if stock prices remain flat or rise). If stock prices fall and the options are executed, the fund is obligated to buy the underlying stock at higher-than-market-price using its collateral, which generates a loss. Because the collected premiums may offset these losses, management believes it stands to lose less than holding the underlying stocks. (The fund also stands to gain less, however.) Management may also write put options on sector or regional exchange-traded funds if options on stocks within these sectors or regions offer unattractive premiums or if the research team lacks a view on these stocks.

Process

The put-writing process starts with bottom-up research to identify stocks with strong fundamentals trading at deep discounts, based upon a three- to five-year outlook. (The same fundamental research drives the firm's flagship fund, Kinetics Paradigm Fund **WWNPX**.) Comanagers Peter Doyle and David Kingsley then evaluate put options on these stocks based upon the stock's perceived risk and the option's premium. The written put options are typically held to expiration, which ranges from three to 18 months (six months on average). If the underlying stock prices rise sharply and the value of the original put option collapses, management may buy back the worthless options and rewrite new at-the-money puts. If any options are executed (or the underlying stocks are "put back" to the fund), management will sell the purchased stocks immediately and simultaneously rewrite new at-the-money put options on the same names, as long as the original fundamental view holds. In selecting the bond holdings, management focuses on factors such as bond liquidity, pricing, and company balance-sheet strength. Bonds are typically held to maturity.

Risk Management

The fund is fully collateralized, meaning that the notional value of the put options will not exceed the fund's total net asset value. Management also limits single-name option exposure, or maximum loss, to approximately 1% of the fund's total assets. In order to diversify company-specific risk, the strategy avoids holding bonds of the same companies on which it writes put options. Management does not seek to time the stock market or interest-rate movements. Instead, turnover is mostly driven by option expiration and bond maturity. Management also monitors sector concentration and risk contribution from bonds and options on a regular basis. ■■■

Kinetics Multi-Disciplinary Advisor A (USD)

Overall Morningstar Rtg™

★★★

548 US OE Conservative Allocation

Standard Index

Morningstar
Moderate Target
Risk

Category Index

Morningstar
Moderately Cons
Target Risk

Morningstar Cat

US OE Conservative
Allocation

Performance 12-31-2011

Quarterly Returns	1st Qtr	2nd Qtr	3rd Qtr	4th Qtr	Total %
2009	-0.73	10.20	6.58	5.27	22.73
2010	3.36	-3.26	7.64	4.66	12.64
2011	5.27	1.00	-12.33	7.27	-0.01

Trailing Returns	1 Yr	3 Yr	5 Yr	10 Yr	Incept
Load-adj Mthly	-5.76	9.21	—	—	1.72
Std 12-31-2011	-5.76	—	—	—	1.72
Total Return	-0.01	11.39	—	—	3.28
+/- Std Index	-0.60	0.17	—	—	—
+/- Cat Index	-2.61	2.33	—	—	—
% Rank Cat	78	36	—	—	—
No. in Cat	610	548	—	—	—
7-day Yield	—	—	—	—	—

Performance Disclosure

The Overall Morningstar Rating is based on risk-adjusted returns, derived from a weighted average of the three-, five-, and 10-year (if applicable) Morningstar metrics.

The performance data quoted represents past performance and does not guarantee future results. The investment return and principal value of an investment will fluctuate; thus, an investor's shares, when sold or redeemed, may be worth more or less than their original cost.

Current performance may be lower or higher than return data quoted herein. For performance data current to the most recent month-end, please call 800-930-3828 or visit www.kineticsfunds.com.

Fees and Expenses

Sales Charges

Front-End Load %	5.75
Deferred Load %	NA

Fund Expenses

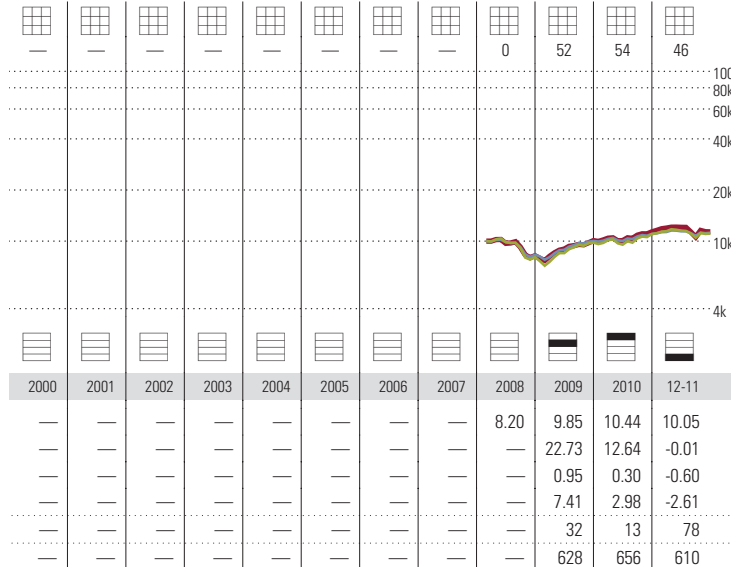
Management Fees %	1.25
12b1 Expense %	0.50
Gross Expense Ratio %	6.63
Prospectus Gross Expense Ratio %	6.63

Risk and Return Profile

	3 Yr	5 Yr	10 Yr
Morningstar Rating™	3★	—	—
Morningstar Risk	+Avg	—	—
Morningstar Return	Avg	—	—
	548 funds	451 funds	170 funds
	3 Yr	5 Yr	10 Yr
Standard Deviation	11.02	—	—
Mean	11.39	—	—
Sharpe Ratio	1.03	—	—
	3 Yr	5 Yr	10 Yr
MPT Statistics	Standard Index	Best Fit Index	—
Alpha	—	—	—
Beta	—	—	—
R-Squared	—	—	—
12-Month Yield	—	—	—
30-day SEC Yield	—	—	—
Potential Cap Gains Exp	—	—	-2.07%

Operations

Family:	Kinetics
Manager:	Multiple
Tenure:	3.9 Years
Objective:	Income
Base Currency:	USD



Investment Style
Fixed-Income
Bond %

Growth of \$10,000

— Kinetix Multi-Disciplinary Advisor A
— Category Average
— Standard Index

Performance Quartile
(within category)

History	2000	2001	2002	2003	2004	2005	2006	2007	2008	2009	2010	12-11
NAV/Price	—	—	—	—	—	—	—	—	8.20	9.85	10.44	10.05
Total Return %	—	—	—	—	—	—	—	—	22.73	12.64	-0.01	-0.01
+/- Standard Index	—	—	—	—	—	—	—	—	0.95	0.30	-0.60	-0.60
+/- Category Index	—	—	—	—	—	—	—	—	7.41	2.98	-2.61	-2.61
% Rank Cat	—	—	—	—	—	—	—	—	32	13	78	78
No. of Funds in Cat	—	—	—	—	—	—	—	—	628	656	610	610

Portfolio Analysis 09-30-2011

Asset Allocation %	Net %	Long %	Short %
Cash	19.25	19.25	0.00
US Stocks	0.00	0.00	0.00
Non-US Stocks	14.99	14.99	0.00
Bonds	46.03	46.03	0.00
Other/Not Clsfd	19.74	19.74	0.00
Total	100.00	100.00	0.00

Equity Style	Portfolio Statistics	Port Avg	Rel Index	Rel Cat
Value	P/E Ratio TTM	—	—	—
Blend	P/C Ratio TTM	—	—	—
Growth	P/B Ratio TTM	—	—	—
Large	Geo Avg Mkt Cap	—	—	—
Mid	\$mil	—	—	—
Small				

Fixed-Income Style	Portfolio Statistics	Port Avg	Rel Index	Rel Cat
Ltd	Avg Eff Maturity	—	—	—
Mod	Avg Eff Duration	—	—	—
Ext	Avg Credit Quality	—	—	—
High	Avg Wtd Coupon	—	—	5.32
Med				
Low				

Credit Quality Breakdown —	Bond %
AAA	—
AA	—
A	—
BBB	—
BB	—
B	—
Below B	—
NR/NA	—

Regional Exposure	Stock %	Rel Std Index
Americas	—	—
Greater Europe	—	—
Greater Asia	—	—

Share Chg since 06-2011	Share Amount	Holdings:	% Net Assets
—	—	271 Total Stocks, 20 Total Fixed-Income, 38% Turnover Ratio	—
✱	2 mil	Owens-Brockway Glass Container 144	7.75
⊕	2 mil	Chesapeake Engy Cv 2.25%	7.68
—	2 mil	Consol Engy 8%	7.21
—	1 mil	Icahn Enterprises Lp/Corp Cv FRN	6.29
—	1 mil	Calpine Constr Fin Co L P / 8%	4.72
—	2 mil	Branson Mo Regl Arpt Transn De Rev	4.11
⊕	910,000	Davita 6.375%	4.01
—	830,000	Harvest Operations 7.5%	3.73
✱	800,000	Live Nation Enttrntmt Cv 2.875%	3.31
✱	740,000	Arcan Res 6.25%	3.15
—	2 mil	Branson Mo Regl Arpt Transn De Rev	3.08
—	590,000	Rouse 5.375%	2.69
—	250,000	Peabody Engy 6.5%	1.21
—	250,000	Sabine Pass Lng L P 7.25%	1.11
—	220,000	Corrections Corp Amer New 7.75%	1.07

Sector Weightings	Stocks %	Rel Std Index
🔄 Cyclical	—	—
🏭 Basic Materials	—	—
🛒 Consumer Cyclical	—	—
🏠 Financial Services	—	—
🏡 Real Estate	—	—
📡 Sensitive	—	—
📞 Communication Services	—	—
⚡ Energy	—	—
⚙️ Industrials	—	—
💻 Technology	—	—
➡ Defensive	—	—
🛒 Consumer Defensive	—	—
🏥 Healthcare	—	—
💡 Utilities	—	—

Disclosures

This article was written by Morningstar, Inc. and is being re-printed at the request of Horizon Kinetics LLC, parent company to Kinetics Asset Management LLC, investment adviser to the Kinetics Multi-Disciplinary Fund.

You should consider the investment objectives, risks, charges and expenses of the fund carefully before investing. For a free copy of the fund's prospectus, which contains this and other information, visit our website at www.kineticsfunds.com or call 1-800-930-3828. You should read the prospectus carefully before you invest.

Past performance does not guarantee future results. Investment return and principal value will vary, and shares may be worth more or less at redemption than at original purchase. You may obtain the most recent month-end performance data by visiting our website, www.kineticsfunds.com. Current performance may be lower or higher than the performance data quoted.

As a non-diversified fund, the value of its shares may fluctuate more than shares invested in a broader range of companies. In addition, there may be heightened risks associated with investing in non-investment grade debt securities and the use of options. Non-investment grade debt securities, i.e., junk bonds,

are subject to greater credit risk, price volatility and risk of loss than investment grade securities. Options contain special risks including the imperfect correlation between the value of the option and the value of the underlying asset. Unlike other investment companies that directly acquire and manage their own portfolios of securities, the fund pursues its investment objective by investing all of its investable assets in a corresponding portfolio series of Kinetics Portfolio Trust. The information contained herein has been obtained from sources believed to be reliable; however, no representation is made regarding its accuracy or completeness. This is not an offer or solicitation to purchase or sell securities.

The information contained herein should not be construed to be a recommendation to purchase or sell any particular security or an assurance that any particular security in a portfolio will remain in the portfolio or that a previously held security will not be repurchased.

No part of this material may be copied, photocopied, or duplicated in any form or by any means.

Horizon Kinetics LLC TM